

STATE OF NEW YORK

3943--A

2025-2026 Regular Sessions

IN SENATE

January 30, 2025

Introduced by Sens. GOUNARDES, COMRIE, LIU -- read twice and ordered printed, and when printed to be committed to the Committee on Budget and Revenue -- recommitted to the Committee on Budget and Revenue in accordance with Senate Rule 6, sec. 8 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the tax law, in relation to computation of franchise tax on taxpayers with a business income base exceeding five million dollars

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The opening paragraph of paragraph (a) of subdivision 1 of
2 section 210 of the tax law, as amended by section 1 of subpart A of part
3 I of chapter 59 of the laws of 2023, is amended to read as follows:
4 For taxable years beginning before January first, two thousand
5 sixteen, the amount prescribed by this paragraph shall be computed at
6 the rate of seven and one-tenth percent of the taxpayer's business
7 income base. For taxable years beginning on or after January first, two
8 thousand sixteen, the amount prescribed by this paragraph shall be six
9 and one-half percent of the taxpayer's business income base. For taxable
10 years beginning on or after January first, two thousand twenty-one and
11 before January first, two thousand ~~twenty-seven~~ twenty-six for any
12 taxpayer with a business income base for the taxable year of more than
13 five million dollars, the amount prescribed by this paragraph shall be
14 seven and one-quarter percent of the taxpayer's business income base.
15 For taxable years beginning on or after January first, two thousand
16 twenty-six for any taxpayer with a business income base for the taxable
17 year of more than five million dollars, the amount prescribed by this
18 paragraph shall be nine percent of the taxpayer's business income base.
19 The taxpayer's business income base shall mean the portion of the
20 taxpayer's business income apportioned within the state as hereinafter

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

LBD08239-02-6

1 provided. However, in the case of a small business taxpayer, as defined
2 in paragraph (f) of this subdivision, the amount prescribed by this
3 paragraph shall be computed pursuant to subparagraph (iv) of this para-
4 graph and in the case of a manufacturer, as defined in subparagraph (vi)
5 of this paragraph, the amount prescribed by this paragraph shall be
6 computed pursuant to subparagraph (vi) of this paragraph, and, in the
7 case of a qualified emerging technology company, as defined in subpara-
8 graph (vii) of this paragraph, the amount prescribed by this paragraph
9 shall be computed pursuant to subparagraph (vii) of this paragraph.
10 § 2. This act shall take effect immediately.